PIRANHA PROFITS

Price Action Short-Term Trading Futures and Forex

By: Alson Chew

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PRICE ACTION SHORT TERM TRADING

What is Short-Term Trading?

Short-term trading can also be called scalping or intra-day trading. Short-term trading is a specialized trading skill or trading style with a time horizon of usually less than 1 trading day.



Types of Products Recommended for Short-Term Trading

- ✓ Spot Forex or Futures Products.

Point to note: Short-term trading in stocks may incur higher commission rates and risk of holding overnight positions.

What do you need?

Steel of patience and discipline to exit the positions with pre-determined profit or loss level. The trader can set a minimum Risk to Reward ratio of 1.5 to a max of 2.5 depending on his/her temperament and style of trading.

- ➢ Use the XSPY Risk Management excel to help size your trade correctly

The short-term trader should focus on a maximum of 3 products and adhere to strict risk and psychological management in the face of quick win or losses. Due to the nature of short-term trading, the trader has to make quick trading decisions and be familiar with trade execution tools. Therefore, the aspiring short-term trader is advised to practice this specialized skill set on paper first before going live.

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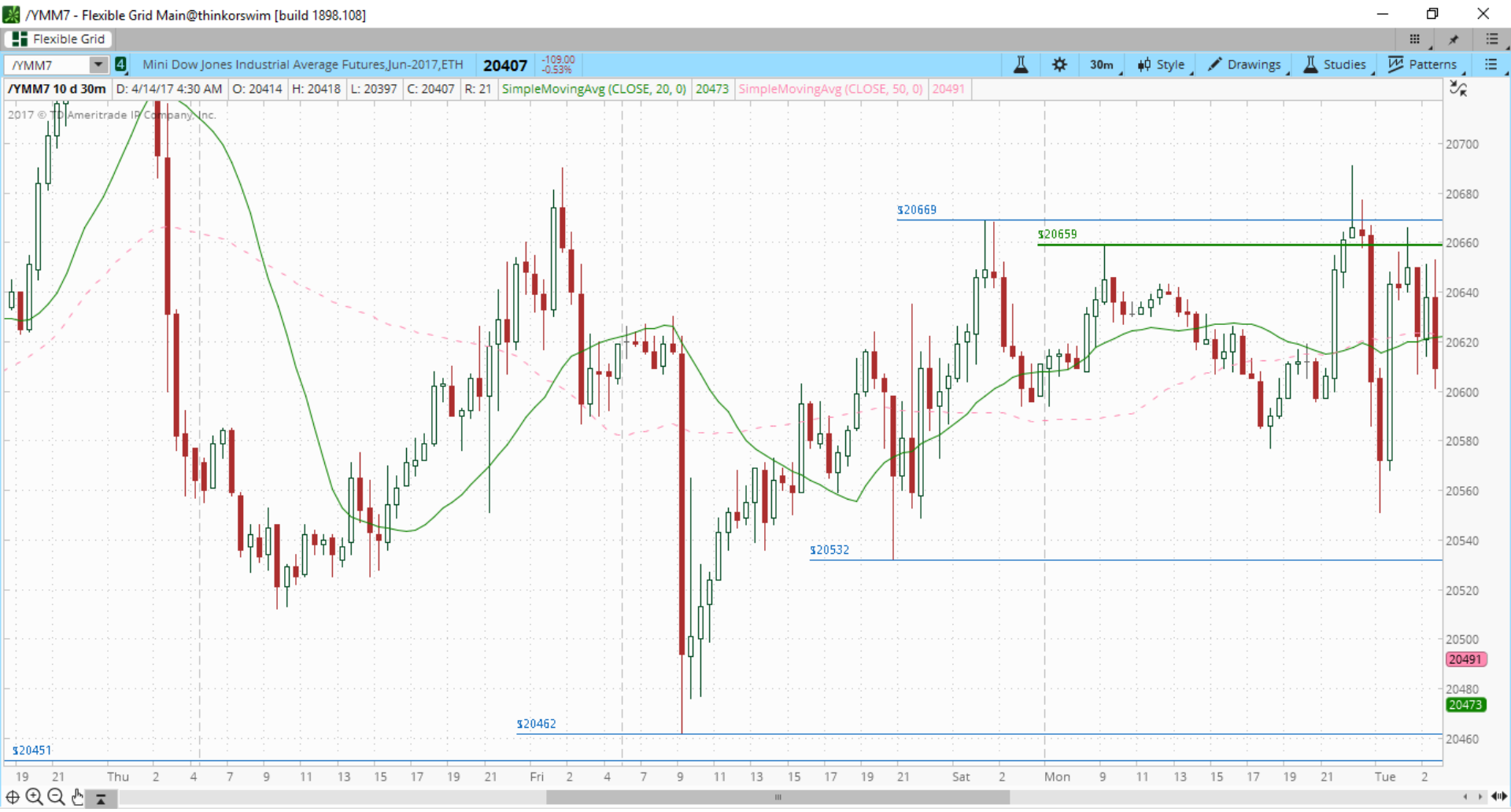
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With market structure UR1 confirmed and EXE forms with force of the key levels as shown, the trader take on the short trade.



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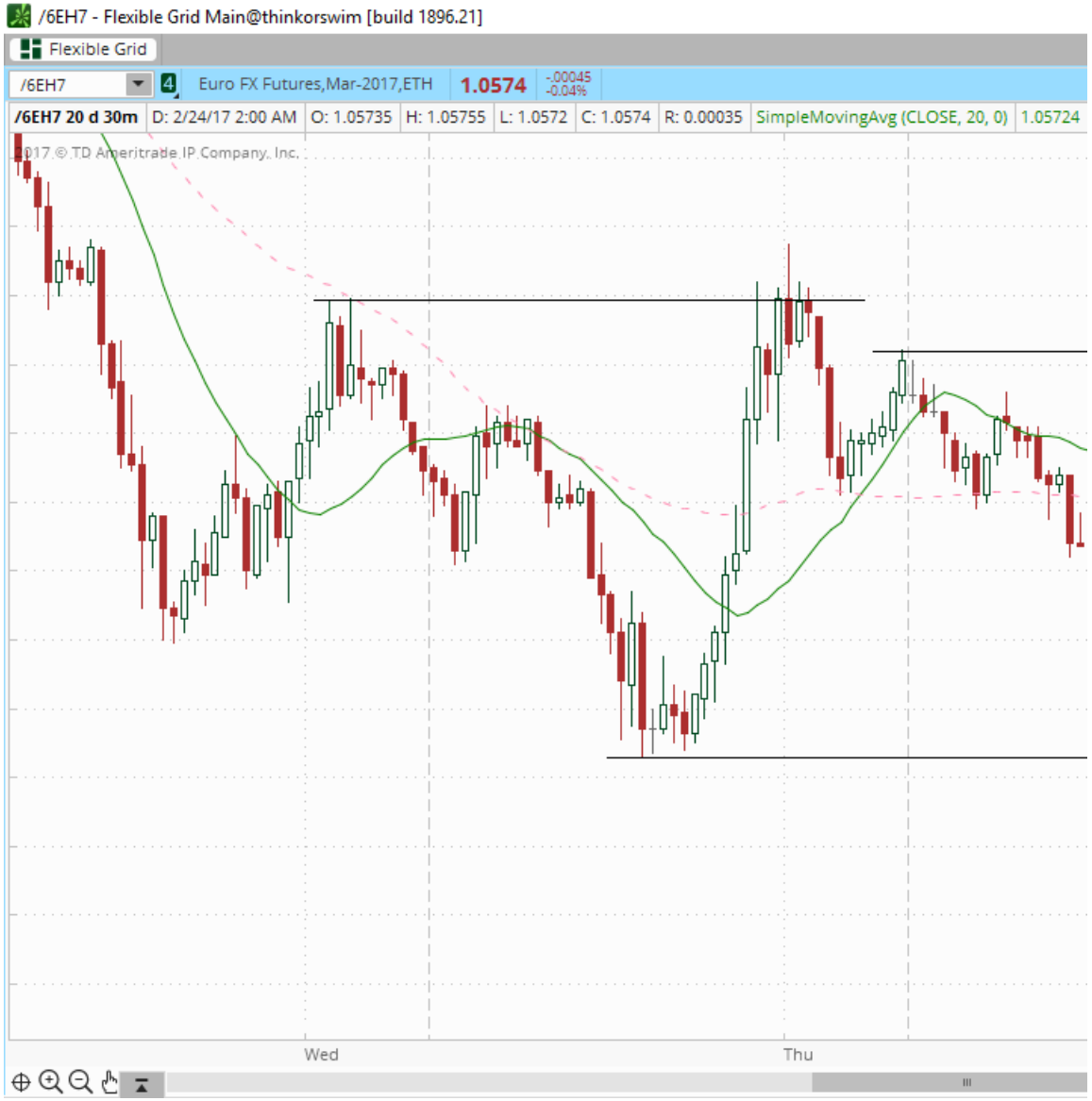
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Summary

Short term trading on futures or spot forex requires patience and lots of practice. Due to the higher frequency of trades, it is important to choose a low transaction cost broker for the products you are trading. Due to higher leverage nature of short term trade, the trader must cut loss mercilessly when a trade is invalidated. In addition, always close out short term trade positions before major market moving news event.

Key points to note

1) Plot the various key swing levels
2) Be familiar with certain product timings and characteristics
3) Execute reversal or continuation trades based on market structure strategies and EXE signs.
4) Risk management with pre-determine entry and exits levels
5) Never go into a trade without a SL
6) Practice
7) And more practice

"Uncertainty and risk stemming from it are the very core of trading. Without risk, there would be no potential for profit. Traders take on risk in exchange for the potential for making money. That is their function. The ones who do this well make money. The ones who do this poorly lose money. This is the essence of the game." *Turtle Trader Curtis Faith in Inside the Mind of the Turtles.*

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